

MORRISONS | CREDIT UNDERWRITING REPORT

Illustrative £900m senior secured term-out | Public information only

JULY 2026
LENDER VIEW

RECOMMENDATION	PURPOSE	FACILITY	MATURITY
APPROVE WITH CONDITIONS	Refinance residual 2027 secured notes and £750m 2028 senior notes	£900m	August 2032

1 | EXECUTIVE CREDIT VIEW

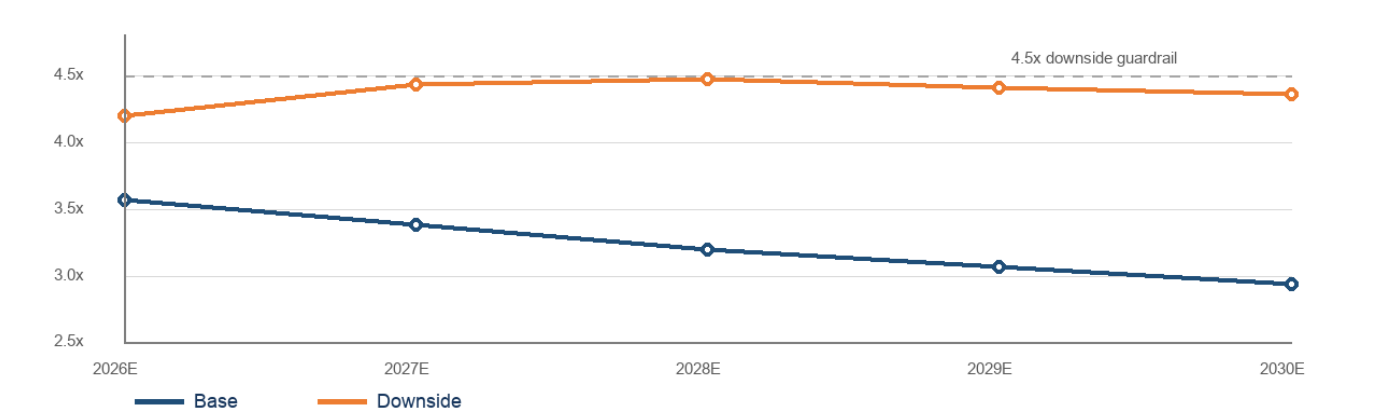
Recommendation. Approve the proposed term-out only with mandatory amortisation, cash sweep and leakage controls. The extension removes the residual 2027–28 maturity concentration, but the debt stack remains highly dependent on stable EBITDA and cost-savings delivery because recurring free cash flow is thin.

Metric	FY25A	FY26E Base	FY26E Downside	FY30E Base
Revenue	£15,800m	£16,227m	£15,800m	£17,703m
Underlying EBITDA	£835m	£868m	£751m	£1,000m
Net leverage	n/a	3.57x	4.20x	2.94x
EBITDA / cash interest	n/a	2.31x	2.00x	2.70x

2 | CREDIT STRENGTHS AND CONSTRAINTS

CREDIT STRENGTHS	KEY CONSTRAINTS
- Essential grocery demand and £15.8bn revenue scale support operating resilience. - FY25A EBITDA held at £835m despite c.£200m annualised budget-related cost headwinds. - Gross debt has fallen c.£2.7bn since acquisition; the 2025 refinancing pushed material maturities to 2030–31. £1.0bn committed RCF provides a meaningful backstop to downside cash burn.	- Core FCF was negative in FY23A–FY24A after interest, capex and lease principal. - High fixed-charge burden leaves FY26E downside interest cover at 2.00x and a five-year trough of 1.93x. - Competitive price investment, wage inflation and regulatory costs can erode a low-single-digit margin quickly. - Downside liquidity is preserved through RCF drawings, not organic deleveraging.

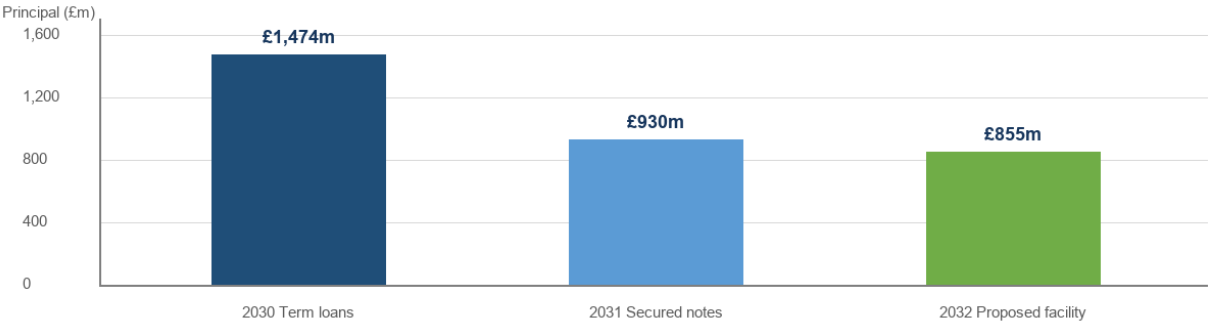
3 | LEVERAGE TRAJECTORY



Base case deleveraging is gradual and depends on EBITDA growth plus cash sweeps; downside leverage peaks at 4.47x in FY28E before only modest recovery.

4 | CAPITAL STRUCTURE AND MATURITY PROFILE

Instrument	Principal	Rate	Maturity	Ranking	Amortisation
RCF (undrawn)	£0m / £1,000m	7.50% assumed	Aug-2030	Super senior	Bullet
Existing term loans	£1,650m	7.50% assumed	Nov-2030	First lien	1.0% p.a.
2031 secured notes	£930m eq.	7.82% weighted	Jan-2031	First lien	Bullet
Proposed term-out	£900m	8.25% assumed	Aug-2032	First lien	1.0% p.a.



The proposed facility removes the small 2027 secured-note tail and the £750m 2028 senior-note maturity. It does not reduce opening gross debt; credit improvement therefore comes from maturity extension, amortisation and cash sweep.

5 | REQUIRED STRUCTURE AND COVENANT PACKAGE

Pricing / OID	SONIA + 450 bps, 50 bps floor; 99 OID
Scheduled amortisation	1.0% of original principal per year, quarterly
Excess cash flow sweep	50% until total net leverage <3.25x; 25% to 2.75x; 0% thereafter
Liquidity	Minimum £300m cash; minimum £500m cash plus undrawn committed RCF
Springing covenant	5.25x first-lien net leverage when more than 40% of RCF is drawn
Leakage protection	No restricted payments above 3.50x total net leverage or below £500m pro forma liquidity
Guarantor coverage	At least 80% of consolidated EBITDA; no structurally senior material debt

6 | DOWNSIDE ASSESSMENT AND CONDITIONS

DOWNSIDE OUTCOME - Revenue stagnates, then declines 1% in FY27E; EBITDA margin bottoms at 4.65%. - Cash flow before debt paydown is negative in every forecast year. - RCF draw rises to £448m by FY30E; total liquidity remains £853m. - Net leverage peaks at 4.47x and interest cover bottoms at 1.93x.	CONDITIONS PRECEDENT / MONITORING - Evidence of full takeout of the residual 2027 and 2028 instruments. - Quarterly liquidity, leverage, capex and cost-savings reporting. - No permitted debt that primes or structurally subordinates the facility. - Mandatory prepayment from major asset disposals and insurance proceeds. - Equity cure limited in frequency and excluded from cash sweep calculations.
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FINAL VIEW | Approve with conditions. The maturity extension is valuable, but lenders should contractually prioritise cash retention and debt reduction because the downside case is serviceable only through RCF capacity and limited interest-cover headroom.

Sources: Market Bidco FY2024 annual report; Morrisons FY2024/25 and Q2 FY2025/26 updates; 2024 debt announcements; TISE 2031 note listings. Forecasts, GBP equivalents and terms are illustrative assumptions. Not investment advice or a credit commitment.